3. *Question:* If these military needs cannot be met through diplomatic and economic measures, should the United States accept a commitment of its armed forces to insure that they are met?

Answer: The United States should be prepared, if its military needs on Formosa cannot be met through diplomatic and economic measures, to expand its employment of naval and air forces to safeguard Formosa. This would insure that the United States retains freedom of action for the utilization of Formosa as a base of operations for the Chinese Nationalist forces, as well as for possible future use of our own military forces. However no binding commitment should be made, since such a commitment might hamper sound military decisions in the future.

For the Joint Chiefs of Staff:
OMAR N. BRADLEY
Chairman
Joint Chiefs of Staff

S/P Files: Lot 64 D 563

Memorandum of Conversation, Prepared in the Department of State [1]

TOP SECRET

JANUARY 6 and 7, 1951.
JANUARY 12 and 13, 1951.

Participants: Between the individuals as described below.

Names are withheld in the reporting of these conversations. First Party is connected with the Department of State. Second Party is an intermediary. Third Party is a Chinese national identified with non-communist elements of the Peiping régime.[2]

It was agreed at the outset that the purpose of the conversations was threefold: First, to get over to Third Party, for communication to sympathetic elements in the Peiping régime, the true attitude of

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[1] This is the first of a series of unsigned memoranda, most or all of which were written by Charles Burton Marshall of the Policy Planning Staff. According to notations on the source texts, five copies (in a few cases, six copies) were made of each memorandum. One copy of each was sent to Deputy Under Secretary of State H. Freeman Matthews; the other copies were distributed by Kenneth C. Krentz of the Policy Planning Staff, but there is no indication of their distribution. The memoranda are filed in a folder labeled "China 1951 (CBM Hong Kong Report)" in S/P Files: Lot 64 D 563; a few related memoranda are filed in the C. B. Marshall chronological file in the same lot file.

[2] Charles Burton Marshall was First Party in most of the conversations in this series. John Paton Davies of the Policy Planning Staff was First Party in a small portion of them; see Marshall's memorandum of conversation with Brigadier General Roberts, January 30, p. 1533. Mr. Marshall stated in an interview on May 13, 1974, that Second Party was an American. The conversations began at the initiative of Third Party, who had contacted Second Party, who had contacted the State Department. The interview with Marshall is recorded in a memorandum of conversation, May 17, 1974 (611.93/1-651).

the United States toward China; second, to get such information as to the internal situation on the Chinese mainland as Third Party was able to give and as might be useful to the United States; third, to get Third Party's advice as to the conduct of United States policy to forward a schism between China and the Kremlin.

It was agreed also that First Party's identity should not be disclosed to Third Party but that he should be described as someone close to the center and knowledgeable about United States foreign policy.

First Party emphasized the need to make clear to Third Party that he was not speaking as someone able to commit the United States Government in any way. First Party emphasized that no one could commit this government to a particular response to a hypothetical development. He added that from the general nature of United States policy and from the particular implications of the United States position, however, it was possible to draw certain conclusions that would probably stand up under the test of future events.

First Party then proceeded with a presentation of United States policy along the following lines:

The present crisis in world relations stems from a long historic development. In the past four or five centuries two general developments have been taking place.

The first began with the expansion westward out of Western Europe. That expansion included within its scope Africa, the two Americas, the southern and in part the eastern fringes of Asia, and in part the Middle East. Its course has been uneven but generally in the following sequence: discovery, exploration, conquest, colonization, development, independence, and cooperation. Its imperialist phases are as well known to the American consciousness as to that of Oriental peoples. The tradition of freedom and cooperation among nations represented by the side of the issue for which the United States stands has been admittedly uneven. Yet the fact is that the United States and its Western Allies today are not exponents of imperialism and exploitation. The record of the past decade certainly verifies this. In seeking liberation from western imperialism the Oriental peoples are contending against something that isn't there any more.

The other great development began roughly 350 years ago. It is the expansion from eastern Europe. It has produced the great span of Russian power in the present world. The cardinal fact of the eastern expansion has been that the Russians have not developed any mode for the conduct of affairs except that of domination. The westward movement did evolve through a difficult course toward freedom and equality. The eastward expansion has never done so.

In the present phase the characteristics of the eastward expansion

are vastly aggravated by the circumstance that Russia is now in the vise of a small group of limitless ambition, ruthlessness, and an ideology that brooks no rival system of thought. The Soviet system represents imperialism. It is out for conquest and subordination of other peoples. It is armed with an imperialist ideology. Its ideas devour all other ideas just as its power system absorbs and subordinates other peoples. The subtle danger of the combination of Russian power and the communist idea is that it enables the Russians to perpetrate conquest by dissimulation. Imperialism is carried on in the name of liberation. Tyranny is carried on for the ostensible sake of its actual victims.

As a result of historical developments, climaxed in two great wars, the Soviet Union [3] and the United States have emerged as the leaders of two groups of nations. Power has become polarized between them. The ideas represented by the two systems make reconciliation impossible.

The Soviet system aims at the subjugation of every other idea, every other people, every other culture. Obviously its primary enemy is the United States. This does not mean that the United States is necessarily next in the order of attack. It is certainly highest in the order of importance because it is the greatest power unit ranged against the Soviet Union. We identify the Soviet Union as our mortal enemy. To us that is the most important consideration in the world picture. The hostile intention of the Soviet Union toward us and toward all other peoples gives us something in common with all other peoples and nations and governments which are the targets of Soviet conquest. All such peoples should be on our side in the struggle. If the inherent identity of interest were made clear, all peoples would be. The trouble is that the true issues are obscured by shibboleths and false issues.

This leads to the tragic aspect of the China situation. The Chinese under Peiping are being inveigled into supporting the side which is against their own interests. It is manifest that a world victory for the Kremlin, whether through world war or through conquest without world war, would produce a situation in which Chinese freedom would vanish. China would be tied to the Kremlin chariot. Yet the Chinese seem to be missing this point in their preoccupation with secondary and obsolete issues.

The common interests vis-à-vis the Kremlin of all peoples seeking to maintain their independence should be paramount over every other consideration. The United States would like to make it so. To our view,

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[3] For documentation on U.S. policy with regard to the Soviet Union, see volume IV.

a basis of accommodation can be found with any other nation which is acting only in its own interest. On the other hand, there is no basis of accommodation between the United States and a government which serves not its own interests but the interest of our mortal enemy. The crux of the question is whether Peiping looks at things through Moscow's eyes. This is not a question of the attitude of those in the Peiping régime who are not themselves minions of Moscow. It is a question of the motives of those who are in the determining positions of Peiping.

The touchstone is Korea. The United States sent forces into Korea in keeping with the ideas of the United Nations Charter. These ideas stand in complete contrast to the Kremlin's purpose of subjugating other peoples. They were put to test by a clear case of the movement of forces across a boundary. Had the United States, which had forces near at hand, not sought to thwart the aggression, the idea of nations standing together against the power which seeks to subjugate them would have been made a mockery. The United States' action—the UN action, that is—was in the interest of all peoples who wish to be independent. Our action was not aimed at the independence of Korea. We coveted no territory there. We had withdrawn from it. We were perfectly sincere in saying it was beyond our strategic concern. Not direct strategic interest but our interest in upholding the idea which our enemy would destroy—the independence of nations—drew us back into Korea. Our intention was to repel the aggression, establish a sound basis for Korean independence, and then get out. In this we would have succeeded, except for outside intervention. That means Peiping intervention.

That intervention has brought great dismay to the American people. In our view, the right of peoples in the Far East to live independently of the threat of outside aggression is in the interest of China—not just of the Republic of Korea alone. Yet Chinese forces have moved in against our forces. The Peiping régime has set itself up to defeat the idea of collective security. It has taken hostile action against United States forces and other U.N. forces. It has set itself athwart the purposes of the UN. It has precipitated a situation all too likely to lead to a tragic war between the Chinese and ourselves.

The Peiping action certainly was not dictated by any interest of the Chinese people. It was in the interest of only one power—not China, but Russia. It is obviously only in the interest of Russia that the United States and China should go into war. For the immediate contenders such war could only be tragic.

The United States has desisted from countering against the Chinese mainland in the realization that Moscow alone would be served by such a war. This restraint has not been pleasant for Americans. If we

followed the dictates of our emotions we would take naval and air action against the Chinese on the mainland. We would lay waste their cities and destroy their industries. We would let the Chinese people know the terrible potential consequences of the irresponsible actions taken by the men in power in their government. Reason alone dictates this restraint. We deny ourselves the retribution because our reason tells us that the Chinese are the unwitting and deceived victims of Moscow, that carrying the war into China would only deflect us from the real villain, our primary enemy, Moscow. We are actuated also by the hope that something may occur to bring China to its senses so that it will cease to serve the interests of conspiracy that is aimed against Chinese independence just as much as ours—and in the present situation more imminently so.

If war comes, and China is still acting in Moscow's interest, China could certainly count on no immunity from our wrath. Our survival would be at stake. We would have to use our power against all those who use theirs against us. The consequences for China would be terrible, of course. We would undertake the course with great regret that blindness in Peiping had led to a tragedy for a people with whom we have had a traditional friendship. But such regrets would not inhibit our action. We would view the situation from the standpoint of cold necessity.

Second Party raised a point which Third Party had told him entered into the thinking of those dominant in Peiping. It was this: the United States now has its hands full in its preoccupation with the danger from the Soviet Union itself. In war the United States would be fully occupied with Russia. This circumstance would provide Peiping with impunity.

First Party said the United States Government believed it would win the war, if one should eventuate. The ordeal would be great. Both sides would suffer terrible wounds. But the United States would emerge victor. It could not be counted on to forget old scores under the moderating effect of victory. It would, to the contrary, settle all unbalanced accounts. If the Chinese themselves had not settled the account with respect to Korea, the United States certainly would then. It is better that the Chinese settle the score themselves. Certainly there is an account to be settled between a people and its leaders who forced them into enormous dangers in the interest of another power. This was done recklessly and deceptively and in total disregard of the interests of the Chinese. It is better that the Chinese settle that account while there is still time for the settlement to be effective in deterring a war.

First Party commented that the immediate future of the issue regarding Korea was unclear. We had operated in Korea under the UN aegis. Now it was becoming apparent that the UN had great trepida-

tion about drawing the issue with the Chinese. What would the United States do? It might clear its accounts for the time being under the premise that the whole action was a UN action and that the United States would conform to the limits allowable under UN endorsement. It might cut loose from the UN aegis. After all, the bulk of the attrition suffered had been on the part of Americans on the UN side (Koreans excepted). Our Army was the one that got jumped. Other nations had committed only small fractions. For the time being the first course might be followed out of expediency. But the Chinese should not assume that the debt would be wiped off that way.

The discussion then went on to the Formosa problem.

First Party said that the Cairo declaration [4] was still valid. In our view the island should go to China eventually. Certainly we did not claim it for ourselves and would not do so. Our interposition of the 7th fleet in the channel there was motivated by one consideration only. We did not wish the position to be used against us. Our action in Korea made this necessary. As one of the victor powers we have residual rights there until a Japanese peace treaty has been made. The Cairo declaration manifested our intention. It did not itself constitute a cession of territory. We had been compelled to act because of our fear of a stab in the back from Peiping. We would be willing to see the island go to any Chinese régime not likely to use it against us. That brings up the question again: Is the Chinese régime the servant of its people's interests or the servant of Moscow's interests? If the régime is acting only in China's interest, Formosa is a solvable problem. If it is acting in the interest of Moscow—as it certainly appears to be—it would be quixotic in the extreme for the United States to permit the island to go forthwith to Peiping.

It is futile and academic to consider any issues between the United States and the Chinese apart from the main problem of Peiping's intentions. This applied to the question of recognition.

The United States conducts its recognition policy in its own interest as it sees it. Our continued recognition of Chiang Kai-shek's [5] government did not indicate devotion to it or any determination to impose it in authority over the mainland. Those in the United States who speak up vehemently for him are in a distinct minority.

To suspend relations with a relict régime naturally brings into im-

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[4] Reference is to the communiqué issued by President Franklin D. Roosevelt, Generalissimo Chiang Kai-shek, and Prime Minister Winston Churchill following their conference at Cairo, November 22–26, 1943. The relevant portion declared that "all the territories Japan has stolen from the Chinese, such as Manchuria, Formosa, and the Pescadores, shall be restored to the Republic of China." For the text of the communiqué, see *Foreign Relations*, The Conferences at Cairo and Tehran, 1943, pp. 448–449.

[5] Generalissimo Chiang Kai-shek, President of the Republic of China.

mediate focus the question of dealing with the successor régime. A way of avoiding technically the question of dealing with a new régime is to continue to maintain relations with the relict. We had done this in China. The situation is not particularly to our liking. We would prefer to deal with a responsible government in an effective position. The key word is *responsible*. Is Peiping responsible to the Chinese people or is it actually responsive to Moscow?

Recognition is a way of doing business. It has no usefulness per se. The rub is that you cannot do business with a régime that has lost its power to transact business on its own and serves as a blind for someone else. We had recognized other satellites. The results had not been happy. The idea of being a satellite was antithetic to any concept of autonomy implied in recognition.

In event the Peiping régime were to show a change in attitude or if the power of those in charge of it should be challenged from within, the United States would certainly not be rigid on the matter of recognition or continue to hold its channels to the Chiang Government. A defection of Peiping from Moscow, however accomplished, would certainly be in our interest. Few turns more advantageous to the United States at this juncture could be conceived of. We certainly would not stand in our own light by failing to take advantage of such a situation or by impeding it by blind adherence to some antecedent viewpoint.

The same applies with respect to representation in the UN. Here again the touchstone is Korea. The great obstacle is that the Peiping régime stands before the world as the enemy of the UN. It has challenged the UN in combat. If its position in Korea were cleared up, the question of UN representation would be greatly simplified and altered.

It is well for the Chinese to understand that the difficulty between Peiping and Washington does not derive from the issues. Rather the issues derive from the difficulty. That difficulty is that the men in determining positions in Peiping have put themselves in thrall to the enemies of the United States. To the degree that Peiping has come to serve others it cannot serve its own interests. Its own interests dictate peace and accommodation with the United States. The present situation serves only Moscow's interests. It cannot be eased until the Chinese make the fundamental decision to cut the cords to Moscow.

Second Party took complete notes on the above discourse. At the completion of it he held forth on the information given him by Third Party. He had taken notes thereon and referred to his notes repeatedly. The essence of the information is as set forth below.

The Peiping régime had been established on the basis of a broad

appeal to the Chinese. This included nationalism and the greater glory of the national viewpoint. It included the interests of all classes except bureaucratic capitalists and war criminals. These ideas were the bases of a coalition in which the Communists were only one element. The Communists have stayed outwardly within the limits of that coalition. They explain everything in terms of national interest as exemplified in the coalition. They stick to the letter if not the spirit.

Three elements make up the coalition. These are: The Moscow-oriented Communists (Stalinists); China-oriented (native) Communists; and non-Communists. Some individuals were clearly identified either as Stalinists, native Communists, or non-Communists. Others were not clearly identified, tending to shift positions from one juncture to the next. It was becoming increasingly clear within China that a small inner group of the régime was completely tied to Moscow. The tie was becoming more apparent, stronger, and more general.

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For example, Chou En-lai,[6] the Minister of Foreign Affairs and himself not a Stalinist, had not been told of the Angus Ward affair[7] until it was an accomplished fact. Chou had only been told that some action was contemplated in the case of an American who had not properly respected their obligations toward the Government. His assent was *pro-forma* and given without actual consultation on the nature and implications of the problem and the contemplated action. The result had been, of course, to drive a wedge between Peiping and Washington.

Likewise the decision to intervene in Korea had been taken not in consultation with the coalition members but as a move arranged by the inner clique. The deployments which made it possible were carried out without consultation.

In appraising these groups it is well to avoid calling them pro-Russian or pro-American. On the face of it all groups are exclusively pro-Chinese. Outside the Stalinist group all are pro-Chinese. Even those who oppose a pro-Russian policy would not stand for being called pro-American.

Mao Tse-tung[8] has emerged as the most powerful emperor in Chinese history. He has three-fold means of control: the secret police, the party, and the army. What he doesn't catch with one he catches

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[6] Chou En-lai was Premier of the Government Administration Council as well as Minister of Foreign Affairs of the People's Republic of China.

[7] For documentation concerning the detention of American Consul General Angus Ward and the staff of the Consulate at Mukden by the Communist authorities, see *Foreign Relations*, 1949, vol. VIII, pp. 933 ff.

[8] Chairman of the Central People's Government Council of the People's Republic of China.

with the others—that is Third Party's way of putting it. His interlocking control is complete and smooth working.

The basis of military power is in four big regional armies. Mao manipulates them. He so deploys them as to keep them divided and to keep the reins in his own hands and away from the army commanders.

The first of these armies is that of Chen I.[9] It is in Shantung. The commander reportedly has refused to go ahead with orders to attack Formosa.

The second is that of Lin Piao.[10] It is in Manchuria and Korea. Its commander is reportedly closer to Moscow than any other army commander.

The third is that of Lin Po-chen.[11] It is deployed for the Tibetan operation.

The fourth is that of Peng Te-huai.[12] This is in the northwest, based in Lanchow. This is Mao's own army, his final reserve. He will fight his last battle with it.

Significance is to be attached to Mao's selection of the army of Lin Piao for the Korean venture. He brought it from Canton for the purpose. He was evidently willing to see this army consumed in Korea. The effect is to build up relatively the position of the other forces. Mao was apparently of a mind to hack down the armies both of Chen and Lin Piao. He also seems anxious to keep intact the force on which he chiefly relies—his army in the northwest.

Mao is much in the Russian camp. All the way? Third Party thinks he may still be appealed to on the basis of his own interest and in terms of national interest. He might still be told it is not in his interest and the Chinese interest to fight the United States and that a war with the United States would be an unnecessary disservice. He might be shown that it would be in the interest of himself and China to get into a position to play off Russia and the United States against each other and in that way be persuaded to cut his Moscow ties. He might be persuaded that eventually he can't lick the Americans and that he and the Chinese will have to pay for their intransigence.

The so-called middle group, the non-Communist element in Peiping, split their party into splinter groups in August, 1949. This was done to deceive the Stalinists that their opposition was disunited. It was done also in the hope of getting a larger share of men in government

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[9] Ch'en I, or Ch'en Yi, was Mayor of Shanghai and Commander of the Third Field Army and of the East China Military Region, People's Republic of China.

[10] Commander of the Fourth Field Army and of the Central-South Military Region, People's Republic of China.

[11] Liu Po-ch'eng was Commander of the Second Field Army, People's Republic of China.

[12] Commander of the First Field Army and of the Northwest Military Region and Commander of the Chinese People's Volunteers in Korea.

positions. The middle group has a dual organization and dual leadership. Its splinter elements have an exposed leadership. Behind them is a secret unified organization under the real leadership.

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The third group has two objectives—or rather one objective with two stages. The first is to work within the limits of the Peiping régime to persuade Mao that he can avoid war with the United States and that such a war would be inimical to Chinese interests and disadvantageous to himself. The second would be—in event of failure of the first—to attempt a *coup d'etat*. It would probably eventuate into a long period of chaos. It would be a case of choosing to precipitate incalculable civil violence rather than face the prospect of war with the United States.

The means of persuasion envisaged under the first course is public opinion. It still exists in China despite the monopoly of public channels of information. The middle group hangs together through a set of secret societies. They get information around on a word-of-mouth basis. It is effective. It is more important than the controlled press and controlled radio.

The *coup d'etat* would involve an alliance with the native communists to oust the Stalinists.

The anti-Stalinists are sure that they could get public opinion behind such a move.

They believe Chen can be counted on to cast his lot with them. They have provided him with a nifty concubine and a fine new car to get on the good side of him.

Third Party would like to be able to give assurances back in China to the effect that the United States would not impede a development away from Moscow by continuing to support Chiang and trying to force him into the leadership of any anti-Moscow move. He would also like to be able to give assurances that the Formosa issue could be settled. Finally, he would like to be able to give assurances that the door is not closed to seating the Peiping régime in the UN.

Third Party had in mind some settlement of the Korean business by a simultaneous Chinese and UN withdrawal and the establishment of a UN commission to supervise the establishment of an independent government. The Chinese should be participants in this commission.

Third Party's view was that the Russians had tried to keep the Peiping Chinese out of the UN. This was indicated in the order of the agenda as arranged by Malik.[13]

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[13] Yakov A. Malik, the Soviet Representative on the United Nations Security Council. For documentation concerning the question of Chinese representation in the United Nations in 1950, see *Foreign Relations*, 1950, vol. II, pp. 186 ff.

The anti-Stalinist group would want as to Formosa the withdrawal of the United States fleet and restoration of the *status quo.*

Third Party's view is that an attack on the 7th fleet might be made at any time.

Third Party recognized that the issues were not easy. In a way they would be easier if it should prove impossible to bring Mao around and the dissidents were forced into the attempt at a *coup d'etat.* After a *coup d'etat* Chinese face would be saved by the disavowal of preceding acts and United States face would be saved because it would be dealing not with the perpetrators of such acts but with those who ousted the perpetrators.

The issues would be hard to handle if the course were to be a detachment of Mao from the Moscow line. Mao could be appealed to only on the basis of Chinese interests and aggrandizement.

Third Party wished to be able to carry to China assurances that the United States would not kick them around for being communists even after they may have broken the Moscow tie and begun an independent course. He also wanted to be able to carry back assurances that the United States will see that the Chinese have to see their problems as Chinese problems—that we will not be chivvying them to make declarations and take positions on our side of all the issues.

In commenting on points raised by the information relayed from Third Party, First Party spoke along the following line:

The Chinese could be assured that the United States would take a realistic attitude regarding internal Chinese concerns such as the internal economic policies and type of régime the Chinese may choose to have. Our flexible attitude with respect to the Tito [14] Government in Yugoslavia [15] sufficiently illustrated this. Tito's internal policies were not to our liking. There had been many grave issues between this Government and the Yugoslav Government. Nevertheless when Tito defected from Moscow the United States regarded the fact of Yugoslav's new independence from Moscow as of greater importance than of any issue extant between the two Governments. It could certainly be counted on to regard its relations with China with the same realism. One important point should be made however. Tito demonstrated his independence from Moscow under his own steam. He did so for purely Yugoslav reasons. He did not have to be wheedled into it by concessions made in advance of the action. Nations should not require bargaining and wheedling in order to get them to take positions of independence and self-respect.

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[14] Josip Broz-Tito, Prime Minister of Yugoslavia.

[15] Documentation on U.S. policy with regard to Yugoslavia is included in volume IV.

As for the prospect that the United States would show understanding for the Chinese régime if it should continue to be pro-Chinese and in some degree anti-American after cutting its ties with Moscow, it is to be anticipated that the problems between the two countries would be difficult but not impossible of solution. American public opinion has been aroused against China. There has been great resentment against the Chinese action within the Executive establishment and within the Congress. These things will not die down overnight. They can be expected to be ameliorated with the passage of time and with the display of the spirit of accommodation by the two Governments concerned. It must be emphasized, however, that it is up to the Chinese to do their share of the accommodating. That share must be great. It was the Chinese who attacked American troops—not Americans who attacked the Chinese. It is China rather than the United States which has taken a position of flouting international obligations.

As for the idea that the United States will seek to draw Mao into a position where he will play the United States against the Russians, that is a difficult prospect for the United States. The better attitude for countries to take is one of accommodation and compromise independent of the idea of playing each other against somebody else. The United States has no intentions of playing China against some third country and vice-versa. It should be able to expect an equivalent attitude from China.

First Party said that the essential question was one of timing. If the United States were to take a conciliatory attitude before the Peiping régime had cleared its record the United States would be putting itself in the position of appeasement. The United States would be putting itself in a position to be bilked if the Peiping Government should turn out to be not acting in good faith.

The United States faces grave dangers. For the time being it may be under a disparity of power as compared with its adversary. Nevertheless, the United States is not under compulsion to go, hat in hand, to beg concessions from those who have helped its enemies. Certainly the situation requires that Peiping make the first move as an earnest of its intentions. This did not involve a loss of face. No nation ever loses face by doing the right thing. To the contrary, a solid and recognizable gesture from the Peiping régime would probably be met more than half way by the United States and American public opinion.

Raising a question which did not represent his own point of view, Second Party asked whether it was possible to develop two moves simultaneously—the first the seating of the Peiping delegates in the UN and the second conversations between the United States and Peiping with respect to Formosa.

First Party said again that timing was of the essence. The United States Government also had a public opinion and its own self esteem to consider. The United States had eaten a lot of crow. The American people were already fed up with that article of diet. They would not swallow another huge serving of the same just on the speculative chance that the Peiping régime might follow up with an act of a character such as the Peiping régime should take of its own volition anyway.

First Party insisted that Korea was still the touchstone of the issue. If the Peiping régime is a minion of Moscow it will be impossible to establish a basis of accommodation between Peiping and Washington. If it is not a minion of Moscow then the Peiping régime can demonstrate this by showing a tractable and reasonable attitude on the Korean issue. Time, however, is short. What is hard to understand is why other nations should make overtures to persuade the Peiping régime to demonstrate that it is capable of acting in its own interest.

First Party said that the initial requirement is a recognizable gesture from Peiping that it does not want war with the United States, that it has come to a sense of realities and its responsibilities, and is not acting as a minion of the enemies of the United States. The United States has already made manifest its own intentions. It has not carried the war against the Chinese on the mainland. It has stayed scrupulously within the framework of the UN in its actions in Korea. It has been amenable to any reasonable formula for ending the hostilities. Peiping could very easily manifest an equivalent point of view. The real question is whether it can. Is China still master of its own household? To put it another way, is it not too much to hope that Mao can be brought to a course of reason and of independence from the Moscow line?

Second Party said that, according to Third Party's presentation, the tendency of Peiping would be to discount the United States desire to avoid war with China as a factor in the situation. The more truculent elements in Peiping have been insisting that the United States had been deterred only by fear of an attack on Japan and by fear of possible Russian intervention in event the conflict should be carried to the Chinese mainland.

First Party said that the surmise as given is beside the point. The plain fact is that the United States does not want a war with China and that such a war would be contrary to its interests as well as to Chinese interests and would serve only Moscow. This must be established in the minds of both parties as a condition precedent to any accommodation between the United States and the Peiping régime. First Party said Washington had every reason to discount the like-

lihood of a Russian interposition in the event of hostilities on the Chinese mainland. Russia would obviously prefer to fight its battles vicariously. The notion of a scrupulous adherence on the part of the Kremlin as to its plighted word to its allies is naive. The satellite countries are not the allies of Russia—they are minions of Russia. Any pledge to them on the part of Russia will be interpreted in the light of Russian expediency. The expedient thing for Russia to do in such a case would be to remain aloof while two of the countries listed as victims of Russia fought a war that was tragic for them and advantageous for Moscow.

First Party requested that Second Party, if opportunity might arise, should make inquiries with Third Party as to the position of the following individuals in the political spectrum:

Fu Tso-yi
Chen Ming-shu
Fang Chueh-hui (Hunan)
Chang Fa-kwei (above all)
Chen Yi
Hsu Chung-shi
Liu Po-ch'ene
Chang Wu-min
Wei Tao-ming
Chen Cho-lin

First Party also asked Second Party to ask Third Party whether Li Tsung-jen [16] has outlived his usefulness and whether Pai Chung-hsi [17] has outlived his usefulness. First Party suggested an inquiry of Third Party as to whether there were any men among the Nationalists on Formosa with whom dissidents on the mainland could work.

First Party asked Second Party to communicate to Third Party that [name deleted] at Hong Kong might serve as a further point of contact. He asked that the following questions be asked of Third Party: How do we get in touch with him if we have a message for him? Does he want us to make other contact points besides [name deleted] and, if so, where?

First Party suggested that above all Second Party should seek Third Party's suggestions as to lines for the United States to pursue in the current situation.

With that, the first stage in the conversation was brought to a close.

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[16] Li Tsung-jen, Vice President of the Republic of China, was living in the United States.

[17] Pai Chung-hsi, former Minister of National Defense, 1946–1948, was Vice Director of the Military Strategy Advisory Committee, Office of the President, Republic of China.

The conversation was resumed the next morning. Second Party reported that he had given Third Party a complete account of the first phase of the conversation. He then took up responses to the specific questions as indicated immediately above.

In Third Party's opinion, Fu Tso-yi [18] can be counted on. He has troops. He is anti-communist. He will aid in appropriate action under appropriate conditions.

Chen Ming-shu [19] is the 19th Route Army commander. He has no troops at present. His name is useful. He can be counted on. He is a strong potential anti-communist element, in Third Party's estimate.

In Third Party's estimate, Fang Chueh-hui is well disposed toward the anti-Russian elements but is not important. He is "small fry". He is a subordinate of General Chen Chi-ien.[20] The latter has command of the troops. Fang Chueh-hui will go as Chen goes.

In Third Party's estimate, Chang Fa-kwei [21] is useless. He is too corrupt. He is thought to be in Hong Kong preoccupied in a feud with someone who is thought to have stolen away his concubine. He has no troops, no prestige and no utility.

Third Party estimates Chen Yi [22] as non-communist but not important.

Third Party has no knowledge and no opinion of Hsu Chung-shi.[23]

As to Liu Po-ch'ene, Third Party says he is one of the big four generals and is now engaged in the operation against Tibet. He is likely to remain attached to Moscow. He is probably not approachable.

Chang Wu-min is not known to Third Party.

Wei Tao-ming [24] is in Third Party's estimate nationalist but without appeal, without a following, without status and without usefulness.

Third Party has no information on Chen Cho-lin.

In Third Party's estimate Li Tsung-jen is a passé figure.

In Third Party's estimate Pai Chung-hsi has no appeal for the middle groups although he does have some following on the mainland.

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[18] Fu Tso-yi, a former Nationalist General, was Minister of Water Conservancy in the People's Republic of China.

[19] Ch'en Ming-shu was a member of the Central People's Government Council, People's Republic of China, and a member of the Standing Committee of the Kuomintang Revolutionary Committee. He had been Commander of the Nineteenth Route Army from 1931 to 1933 and had been relieved of that post after he had led the Fukien Revolt against Chiang Kai-shek.

[20] The reference is apparently to Ch'eng Ch'ien, a former Nationalist general, who was Vice Chairman of the People's Revolutionary Military Council and of the Central-South Military and Administrative Committee, People's Republic of China.

[21] Chang Fa-kwei, a former Nationalist general, was retired and living in Hong Kong.

[22] Evidently not the Ch'en Yi identified in footnote 9 above; the reference is unclear.

[23] Hsü Ch'ung-chih, a former military supporter of Sun Yat-sen and political figure in the Kuomintang, was retired and living in Hong Kong.

[24] Wei Tao-ming, former Chinese Ambassador to the United States, 1942–1946, and Governor of Taiwan, 1947–1949, was living in the United States.

Third Party has no suggestion as to individuals with whom the middle group may be able to work on Formosa. He is not acquainted with the power situation on Formosa.

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Third Party expressed general agreement with the United States position as told the day before by First Party and as relayed to him.

He believed that Mao's neck was probably irretrievably in the Moscow noose. He said that it was the 11th hour and 59th minute. China appeared to be cast in the role of aggressor against the UN. There was no easy way out of the problems brought on by that circumstance.

No one on this side of the Pacific could measure the depth of ignorance of the Stalinist Reds in the Peiping régime. By the logic of their political doctrine no word is believable but that of Moscow. They believe everything from that quarter. They are foreclosed from believing anything else. Moscow had told them war was imminent and that the Chinese were destined to be on the Russian side. The enmity of the United States was such, in the Moscow presentation, as to leave no choice. Third Party had got from [name deleted] . . . the word that he was quite hopeless, that the attitude of the United States seemed to confirm all that the Russians had told them. [Name deleted] had believed that the United States had shut the door completely on Peiping representation in the UN. By this time he would be back in Peiping, spreading gloom among the non-Stalinist elements.

Third Party had emphasized that the Reds really believe what they say about the United States. The Peiping Stalinists really believe that General Marshall double crossed them on the cease-fire deal in his China mission five years ago.[25] They really believed that they could not afford a cease-fire in the Korean situation—that it would result in betrayal of the obligation to keep the *status quo*.

Third Party had said he recognized that the only course was to precipitate a revolt—the only course as an alternative to seeing China tied to the Moscow chariot. The opening gambit would be an attempt to precipitate a showdown and woo the régime away from Moscow, but that would be undertaken with the idea that it would eventuate into civil conflict.

Time is short, in Third Party's view. The Russians have told them war is just ahead, coming sometime this spring. The Russians—the Peiping Stalinists—have emphasized the importance of being on the winning side—of having an honorable position with the victor. This

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[25] For documentation concerning Gen. George C. Marshall's mission to China, 1945–1947, see *Foreign Relations*, 1945, volume VII and 1946, volumes IX and X.

same source emphasizes that the war will be costly, that China will lose much. But they point out that the defeat of the United States will give them a chance to rebuild at United States expense. The United States has plenty to divide up. It will still have it even when the war is over. In the sequel to victory Moscow and its allies will be able to make good their losses and then some.

The other courses open to China are neutrality and turning against Russia. Neutrality is dangerous. It involves the danger of unmerciful punishment in event the Russians should win. If the Russians don't win, it involves taking chances with a victorious United States.

First Party here suggested that Second Party should suggest to Third Party that the Chinese should be under no illusions about the idea of playing along on the Russian side during a war and then switching at the last minute. The hare-and-hounds trick has been overworked. The next war is going to be a tough one if and when it comes. The United States will emerge from it victorious but without illusions. It cannot be counted on to make any more Badoglio[26] arrangements.

Second Party continued with the presentation of Third Party's ideas.

Third Party said that if the United States really wanted to play political warfare, the best thing to do was to let the Peiping government be seated in the UN.

In Third Party's view, the Russians are out to kill the UN. They are developing the World Peace Council as a UN for satellites. The existing UN is repugnant to Russia. It reflects ideas and usages of the non-communist tradition.

The United States could put a spoke in the Russians' wheel by letting the Peiping régime send delegates. This would be a way of countering the generous treatment the Russians were giving Mao.

First Party cut in here that the idea of vying with the Russians in being generous toward the people who are helping Russia and fighting us is a tough one to put over with the American public. How would we know that the Peiping régime would not use its place in the UN to help in the sabotage process being pursued by the Russians? Second Party said Third Party had said we would be able to tell the Chinese intentions by the character of the delegation sent. If it contained a large percentage of non-Stalinists this would indicate the intention to use the UN as a point of contact with the West and not as a means of aiding Russia in the sabotage of the UN. First Party commented that this missed the point in that it involved waiting until after the

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[26] Marshal Pietro Badoglio, Prime Minister of Italy, July 1943–June 1944. For documentation on the armistice concluded by the Allies with Badoglio's government and on the Allies' acceptance of Italy as a co-belligerent in the war against Germany, see *Foreign Relations*, 1943, vol. II, pp. 314 ff.

fact to make the determination. The rest of the world would still be in the position of making the first concession, whereas it is the Chinese who are remiss.

Third Party recognized the difficulty of this. The idea was still, in his mind, the most effective gambit we could make in the political warfare with the Russians as related to China. It would not be necessary for the United States to vote for admission of the Peiping Chinese. It could continue to vote and rant against such an idea and at the same time remove the obstacles which it has set up with other countries.

In Third Party's view, the essential thing is to give the non-Stalinist forces an opportunity to get in touch with the rest of the world and find out what it is thinking. The trouble now is that the contacts are almost all with Moscow. Admission to the UN would be of great help to the Chinese who have a potentially friendly attitude toward the United States and Britain, etc. It would strengthen their case in arguing that the rest of the world—i.e., the non-Moscow world—has not closed the door on friendship with the Chinese.

First Party then raised anew the question of the difficulty, from the standpoint of the future of the UN and American public opinion in regard thereto, in seating the Peiping delegation while Peiping is in notorious violation of the standards imposed by the Charter. Could it be anticipated that the Peiping régime would conform even after being seated? First Party said that an important question which Third Party and his associates should ask themselves is this: Is there any practicable chance that the Chinese intervention in Korea can be called off even if a group in Peiping decided they wanted to call it off and make a peaceful settlement? First Party said he attached great importance to the point that Mao had selected that general known to be closest to Moscow to lead the attack in Korea and had, according to Third Party's account, made a considerable redeployment of forces in order to do so. In First Party's view, this meant that Mao was taking care to forestall any possibility of an effective change of heart in Peiping. He was selecting a general who would be responsive to Moscow rather than to his own government in case of any conflict of intention between the two. If this reasoning were correct, then the idea that Peiping can effectively change its stance in the world situation is out of the question. Mao has already burned the bridges. Peiping is no longer the effective capital of China; rather Moscow is. That is what is implied.

Third Party was then quoted as saying that, irrespective of the developments as to seating in the UN, the United States should do nothing for the time being about Formosa. Keep the interdiction

there. Strengthen the Chinese forces. Use it for bargaining with Peiping in the remote event that the idea of developing a defection of the régime from Moscow should work. In the more likely event that it does not work, the Chinese forces on Formosa will be of great assistance in the warfare that is sure to follow on the mainland. In giving this advice, Third Party felt that at the right time something could be done to get Chiang to step aside and to solve the problems flowing out of our recognition of the Nationalist régime. An accommodation between anti-Moscow forces on the mainland and the Chinese elements on Formosa would have to be worked out, but Chiang's position in the saddle would certainly prejudice the whole movement. That problem would have to be solved. Meanwhile, however, Third Party suggested that the *status quo* as to recognition and as to Chiang's position should be maintained.

Besides the forces on Formosa and besides the potentially defecting army on Shantung, there are three Chinese armies on the mainland which still retain their identity though they do not count in the present deployment pattern of Peiping. These are the armies of Chen Chien, Fu Tsu-yi, and Chang Chih-chang.[27] These should line up against the Moscow elements in a showdown.

Third Party's advice: Don't bomb the Chinese mainland in reprisal for the Korean business. The Chinese people are psychologically prepared for it. The Stalinist elements have warned everybody that we would do it. Now we haven't. This has caused some propaganda trouble for the Stalinists. The point is not that they were fooling the people. The Stalinists really believed we would bomb.

They were sold by Moscow on our hostile intentions. They believed we had aggressive intentions. They told other Chinese this. Others were reluctant to believe it. The Stalinists were prevented for the time being from intervening. Meanwhile they redeployed troops in event it became possible to intervene. The crossing of the 38th parallel gave them their cue. This was presented as proof of our intention not merely to restore the *status quo* but to carry the battle onward. That we have not bombed the mainland tends to undermine their case. Their propaganda has begun to decline in impact because of this.

Third Party's advice: This above all, don't give us the kiss of death. If Peiping should show signs of independence from Moscow or if, which is more likely, there should be an attempt to overthrow the régime, the United States must not give the results its blessing. It must not trumpet a victory to the world. That would pour cold

[27] Chang Chih-chung, a former Nationalist military commander, was Vice Chairman of the Northwest Military and Administrative Committee, People's Republic of China.

water on the whole effort. Third Party recalls the painful experiences resulting from references in the White Paper [28] to the intellectual groups as allies of the United States. He and others in his group had to pound the table and thump their chests in proclaiming their hatred of the United States on that occasion. The same had happened when General Marshall had referred to the non-Nationalists and non-Communists as friends of the United States. All of them had to shout: Not guilty!

The United States must not tip its hand. It must give no inkling of this possible development of a *coup d'etat*. It would mean the end of all those who might support it.

Also, give up any hopes of linking such a movement with Chiang.

The United States should be advised to take an urbane view of the developments. A defection toward neutrality is all that can be expected now. If it works, do not expect the Chinese to start sounding off like the Voice of America. They won't. They will have to state the case in terms to which the Chinese have now become accustomed. They will not dare to talk friendship with the United States. The problem of those who would arrange a defection is how to persuade enough of the others to go along. This cannot be done in the idiom of American propaganda. It will have to be in a Chinese idiom. It will have to be in terms of hostility to foreign influences.

The conversations closed on the topic of estimating Third Party's motives, degree of reliability, etc. Second Party, who impressed First Party well, . . . He had confidence in him. He believed he would come through in the event. He believed Third Party was honest in his expressed determination to do something to cut the lines that tie China to the Moscow chariot. . . . What they saw seemed to confirm what Moscow had told them: That the rest of the world had turned its back on Peiping. . . . He said Third Party displayed a growing comprehension that the issue cannot be compromised—that a nation cannot attach itself to Moscow in a half measure—that it must cut its ties altogether or altogether lose its freedom. This the non-Stalinist elements in Peiping had been slow to perceive. Third Party, Second Party was sure, now saw it.

In the third conversation, Second Party passed on further information given by Third Party. He quoted Third Party as saying that the composition of the inner core of the non-communist dissidents in China was a tightly held secret. Third Party was uninformed as to the controlling personalities. . . . They were described as having

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[28] U.S. Department of State, *United States Relations With China: With Special Reference to the Period 1944–1949* (Washington, Government Printing Office, 1949). For documentation concerning the decision to publish the China White Paper, see *Foreign Relations*, 1949, vol. IX, pp. 1365 ff.

secret contacts with one another and with certain of the non-Stalinist Communists—Chou En-lai was specifically mentioned in this connection.

One element of dissident strength was said to be the secret societies, which communists have not captured nor even deeply penetrated. The gangster-Robinhood, Tu Yueh-sheng,[29] was mentioned in this connection.

A second element was said to be certain Kuomintang generals who went over to the communists during the final phases of the civil war. Only those with troops should be regarded as significant factors. Specific ones mentioned were Chang Chih-chung, whose troops were said to be in the northwest; Chen Chien, who, up to the time of his defection, was the senior Kuomintang general, and whose troops were said to be in the Hankow area; Fu Tso-yi whose army was reported to be in Suiyuan; Hu Ch'i-wei, Li Chi-shen,[30] [name deleted] and Lung Yun [31] (former governor of Yunnan). The communists have placed in encircled inland positions the former Nationalist troops commanded by these generals. Li Chi-shen was said to be doing a good job but was reported to be closely watched.

A third dissident group was said to be the Kuomintang Liberals who went over to the communists. The only one mentioned was Shao Li-tze.[32]

Bankers and industrialists were said to form the financial base of the dissidents. The names of Hou Teh-peng [33] and K. P. Chen [34] were mentioned. Support from such sources freed the Third Group of the need of outside financial assistance. Their holdings were reported to be in such places as Shanghai, Tientsin, Hankow and Canton. To bomb such places would damage mostly the interest of the Third Group, the communists having removed their factories to the northwest. Second Party said that if we must bomb, we should do so in Manchuria and Northwest China.

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[29] Tu Yueh-sheng, a banker, businessman, and leader of a Shanghai secret society, was living in Hong Kong.

[30] Li Chi-shen, a former Nationalist general and political figure, was Chairman of the Kuomintang Revolutionary Committee and Vice Chairman of the Central People's Government Council, People's Republic of China.

[31] Lung Yun, former Governor of Yunnan, 1928–1945, was Vice Chairman of the Southwest Military and Administrative Committee, People's Republic of China.

[32] Shao Li-tzu, former Chinese Ambassador to the Soviet Union, 1940–1942, was a member of the Standing Committee of the Kuomintang Revolutionary Council and a member of the Government Administration Council, People's Republic of China.

[33] Hou Teh-pang, the former general manager of a major chemical company, was Vice Chairman of the All-China Federation of Scientific Societies in the People's Republic of China.

[34] K. P. Ch'en was Chairman of the Board of the Shanghai Commercial Bank in Hong Kong.

A fifth source of dissident strength was reported to be various minor political parties banded together in the Democratic League, which the Communists think they control. These were said to appear superficially inactive but to be actually active underground. Lo Lung-Ch'i [35] and Chang Lan [36] were named as the aboveground leaders as distinguished from the underground leadership.

Overseas Chinese were said to form a sixth source of strength. Many of these were said to have cast their lot with the new régime, but as patriotic Chinese, not as stooges of the Soviet Union.

A seventh element of dissident strength was said to be the Peoples' Organizations, the Jen Min Tuan Ti, set up by the communists but infiltrated by what Third Party called "our men".

Patriotic Communists form an additional source of strength. The principal personality in this group was said to be Chou En-lai. His arch rival was said to be Liu Shao-Ch'i,[37] leader of the Stalinists. The CCP was reported to be quite different from that of the U.S.S.R. Its secret sessions were said to be marked by the freest interchange of ideas and argument. The Patriotic Communists engaged in United Front activities were said to be points of contact with the Third Group.

Certain points of biographical information were passed on by Second Party.

Liu Shao-Ch'i was said to have financial interest in the Sino-Soviet airline. He was said to be doing very well financially but it had not been possible to determine what he was doing with his financial gains.

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The following were reported to have been branded by the Communist press as American agents and therefore cannot be used: Chang Fa-Kuei alleged to be responsible for South China; Jen Yuan-tao and [name deleted], alleged to be responsible for East China (Jen is an ex-Japanese puppet); [names deleted] Tseng Ch'i [38] (Youth Party); and Tsao Yueh-sung.

The question whether Communist China might get into the UN was then discussed, with the factors being reviewed along the lines indicated during the first meeting.

Second Party brought up the question of the rearmament of Japan, asking whether it was too late to hold off that development. He said the rearmament of Japan would run counter to the hoped-for events

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[35] Lo Lung-ch'i, a leader of the China Democratic League and a member of the Government Administration Council, People's Republic of China.

[36] Chairman of the China Democratic League and Vice Chairman of the Central People's Government Council, People's Republic of China.

[37] Liu Shao-ch'i, Vice Chairman of the Central People's Government Council, People's Republic of China.

[38] Tseng Chi, a leader of the Young China Party, was living in the United States.

in China. He quoted Third Party as saying the native China *bourgeoisie* on the mainland were interested in reparations.

The contingency of a *coup d'etat* was then discussed. Third Party was quoted as saying that a *coup d'etat* could occur on the mainland if a full-blown war should develop or if the Third Group should become convinced that the Communists were planning a purge of dissidents. In event of war, the Communists might be compelled so to deploy their forces as to make it impossible for them to continue their encirclement of the Third Group units.

First Party pointed to the dangers of deferring a *coup d'etat* until the Stalinists were ready to strike, for then it might be too late. He suggested that the Third Group might be overestimating their own discipline and the firmness of their own information relatively to those factors among the Stalinists. Second Party said he had raised the same question with Third Party and had been reassured of the tightness and discipline within the Third Group although Third Party was aware of the acute danger that the Stalinists might get the first jump.

Third Party was quoted again as saying that it would be exceedingly difficult to convince Chou En-lai that peace with the United States was possible and that it would be to the greatest benefit of the Communists in China. Even the Patriotic Communists were said to be deeply convinced that the United States was implacably determined to destroy them and that any idea of accommodation was hopeless. They were said to be convinced that the United States was determined to put Chiang back on the mainland and that, therefore, they had no alternative but to go along solidly with the Stalinists.

Second Party stated that Third Party had emphasized to him that the dissidents in China must follow an independent Chinese course and must not serve purely American purposes—"we are your friends, but not your agents".

Second Party said that Third Party had indicated that Liu Shao-ch'i appeared to be determined to embroil China in war with the United States. This he recognized was Soviet policy. To this end suicide aviators and submarine crews were being trained for an attack on the 7th Fleet in the strait of Formosa. He interpreted this as designed to provoke the United States into war with China. He expected that this would occur some time this spring.

In the fourth conversation, First Party stressed the importance of the need to take the contemplated action while time remains. He explained that the pressures within the public, the Congress, and within the Executive branch of the United States were building up in the direction of seizing the issue with Communist China.

First Party said that it was necessary to avoid letting the fat be thrown in the fire rather than to figure what to do once the fat is in the fire. Should events carry so far as complete hostilities between the United States and the Peiping régime, it would be impossible for the United States Government to distinguish between different classes of its enemies. Then all shades of red would be classed as red. There could be no turning back, no pulling of punches, to permit elements within the Peiping régime to take readjustments and redefine their purposes.

First Party stressed that the United States would regard a mainland régime reoriented away from Moscow or established by a *coup d'etat* against the Moscow elements as the real political force in China. First Party said, however, that the United States had political alternatives to the one indicated in earlier conversations as coming from Third Party. First Party stressed that it would be well for the new developments to occur before the United States had been forced to freeze its position in some contrary direction.

First Party said that the United States was much impressed by the basket outlined by Third Party. It was willing to put all its eggs in that basket as soon as it comes into existence. It could not put its eggs in a mere picture of a basket. It had to have an event rather than a prospect as the basis of its action.

Second Party said that Third Party in effect was saying if the United States would produce just one egg, his group would produce the basket. Second Party said that a relaxed attitude that would permit admittance to the United Nations was all that the Peiping dissidents were suggesting.

First Party stressed that the United States Government would appreciate the importance of not hailing such a new régime as friend and ally. Funds authorized by Congress to be spent in the general area of China without the requirement of vouchers were still available in large quantities. These would enable the United States to act subtly in the new situation in China, should it develop, by giving utmost support while outwardly maintaining an aloof attitude.

First Party suggested that Second Party should pass on to Third Party that this Government has obtained from sources other than Second Party information in very large measure parallel to that given by Second Party. This other information indicated that a purge of non-Stalinist elements in Peiping was not remote. The opportunity to strike effectively against the Stalinist elements might soon be foreclosed by events of precisely the opposite character.

Second Party said that any effort to stimulate a sense of urgency in Third Party on this score was unnecessary. Third Party was scared

stiff of the prospect of the development indicated and realized to the utmost the need to move as swiftly as possible.

First Party repeated that the political situation in the United States made impossible at this time the suggestion of seating a Peiping delegation to the UN. This bore on the relationship between the United States and its European allies. The United States could not possibly vote for the seating of the Peiping delegates while Peiping was conducting warfare against our forces and against the UN, as to do so would disrupt the political unity of the country. For the United States to continue outwardly to oppose this while its allies accomplished it would split our alliance. The public and the Congress could not understand such an action. The justification could not be stated without tipping the hand of the dissidents at Peiping. The necessity of keeping these prospective developments secret ruled out the possibility of opening the UN doors at this time. First Party stressed, however, that a change in attitude toward seating Peiping in the UN was not foreclosed, provided Peiping manifestly changed its attitude. A solution of the problem at the UN could certainly be anticipated as a consequence of, though not as a condition precedent to, a change in course at Peiping.

First Party said that the points given above might be passed on to Third Party with redoubled emphasis. In general they echoed what First Party had stated in the first and second conversations; he was now speaking after wide consultation and careful deliberation at high levels on the basis of his reports from the earlier conversations, and the views now had greater weight.

Second Party said Third Party had put forth the prospects of favorable developments at Peiping as contingent upon seating a Peiping delegation to the UN. Second Party was not certain of the degree of interdependence. However, in Third Party's view, dramatic proof that the United States had not turned its back on peace with Peiping was essential to the plans of the non-Communist group at Peiping. Otherwise they could not counteract the pressure from Moscow and the pessimistic reports taken back by [name deleted].

Second Party asked as to the possibility of a change of attitude on the rearming of Japan contingent upon favorable developments at Peiping.

First Party explained that the United States could not reconsider this without positive favorable developments at Peiping. He suggested that Third Party be reassured that the United States planned only to help the Japanese prepare for their own defense, that there was not the slightest intention of reconstituting Japan as a great military power, that the idea of reestablishing Japanese maritime fighting

power so that it might again threaten the security of the Asiatic continent on a wide radius was completely beyond the United States intentions. First Party said the Japanese might possibly become capable of operating on a short radius toward the Soviet maritime provinces but the idea of a Japan remilitarized to threaten anew China or the insular or continental areas to the south was out of the question. Our allies such as the Philippines and Australia would not countenance such a rebuilding of Japan, even if the United States wanted it—which it did not.

First Party added that the United States policy regarding Japan was only a part of an Asiatic policy. The content of our Japanese policy was derived from the general situation in Asia. A lifting of the immediate Soviet threat or a great alteration in the power situation induced by a defection of Peiping from the Moscow orbit would certainly make it possible to modify our intentions regarding Japan. Japan's security bore directly on the security of the United States. The security of Japan would be very different if the consolidation of hostile strength on the continent were broken down.

First Party stressed also that the United States did not regard Japan's future primarily in the framework of relations between the United States and Japan. Our hopes lay ultimately in an accommodation between Japan and Japan's neighbors compatible with the well being and security of all of them. Such an accommodation could not be realized so long as China was working in the interest of a power which was opposed to such accommodation and bent upon penetration and conquest. Obviously Chinese persistence in such a course might force the United States into a different set of aims. Japan's position vis-à-vis the continent would almost certainly be aggrandized as a result of a war in which Japan alone in that neighborhood would be identified with the winning side.

Second Party said in his interchange with Third Party he had gathered the strongest impressions of the prospect of a Soviet attack on Japan as the opening move in a war rather than an attack in Europe. He gave as coming from Third Party a report that the U.S.S.R was building up paratroop forces in Sakhalin.

First Party inquired as to the degree of penetration of the Peiping military establishment by Russians. Second Party said Third Party had indicated an awareness at Peiping of the danger of such Russian penetration, though he had no precise information directly bearing on the question. He reported that Russian military missions were circumscribed in movement. They generally kept within their compounds. Mao Tse-tung had shown cleverness in dealing with Russian penetration. Moscow had sent 50 Russian professors to China for the

ostensible purpose of strengthening cultural cooperation through visits to Chinese universities. Mao had welcomed them and, suspecting they were NKVD agents, had assigned all 50 to the same university and had them put to work on a translation project of purely cultural importance. They were kept under watch.

First Party inquired into the possible effects of a change in the power situation in Formosa, with Chiang stepping out of the picture. Second Party said, citing Third Party, that this could be of the greatest importance in demonstrating that United States policy was not wedded to Chiang as charged by the Stalinists. This should make it possible to bring about a close degree of collaboration between elements on the continent opposed to Moscow and elements on Formosa. It should certainly make for the solidification of Chen I in the anti-Stalinist camp. Collaboration between him and Formosa elements should enable the anti-Stalinist forces to change the situation so as to bring to an end the criticial encirclement of the forces on the continent which had gone over from the Nationalists to the Reds and now were not relied on by Peiping but were kept in a neutralized position. A transfer away from Chiang of power on Formosa would certainly redound to the forwarding of either the reorientation of Peiping or a *coup d'etat*. The sooner this was accomplished, the better it would be from this standpoint.

Second Party said Third Party had identified Chuh Te,[39] commander in chief of Peiping military forces, as non-Stalinist whose attitude might be greatly altered if Chiang were to step out of the picture.

The conversation shifted to other possible ways of stimulating the hoped-for developments on the mainland. First Party brought up the idea of a demonstration bombing attack on a selected target of economic importance with a minimum impact on civilian population. Such an attack might be preceded by warnings to the civilian populations over a wide area to take to the country in anticipation of an attack that would show the power of the United States to deal heavy blows at China. The propaganda would emphasize that the United States was staying its hand only out of friendship for the Chinese and in recognition that a war resulting from the mad course being followed by Peiping elements at Moscow's bidding could result only in tragedy to China and the United States and would serve only Moscow. The propaganda could be presented so as to maximize the lesson that the Chinese should cut loose from the Moscow chariot.

First Party suggested the idea of leaflet drops on Chinese cities

[39] Chu Te, Commander in Chief of the People's Liberation Army and Vice Chairman of the Central People's Government Council, People's Republic of China.

delivered at night from bombers at high altitude. The leaflets might stress the theme that they might have been bombs but were not bombs thanks only to the patience of the United States in the face of the course of the elements of the Peiping government slavish to Moscow and hostile to the United States and the real interests of the Chinese people.

Second Party gave the offhand view that such ventures would be negligible from a propaganda standpoint but might be of help to the dissident forces in Peiping in creating chaos and fear at the right moment. Much would depend on their timing. They might run counter to their purpose if not done right. They might serve only to harden the coalition now formally obtaining at Peiping. It would be important to point the propaganda attacks at the Stalinist elements of the Peiping régime, while avoiding any indication of collaboration with the non-Stalinist elements. It would probably be well to level the propaganda attacks on the pro-Moscow acts of Peiping and those responsible but without indicating any differentiation between specific elements in the régime. The propaganda should certainly stress the possibility of peace between China and the United States and the awful consequences for war.

It was agreed that Second Party might communicate further views on these gambits through personal correspondence with First Party. This might be done after careful and guarded inquiry with Third Party. The interests of security would require great circumspection. . . .

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Memorandum Prepared by the Central Intelligence Agency for the Senior Staff of the National Security Council[1]

SECRET [WASHINGTON,] 11 January 1951.

Subject: Position of the United States with Respect to Communist China.

Reference: Memorandum for the Senior NSC Staff, 22 November 1950,[2] page 3.

1. The following estimates are submitted in response to the requirements specified in the Reference. They are based on Departmental contributions to a projected estimate, NIE-10,[3] which will be completed and coordinated as a matter of urgency. At present time, however,

[1] A notation on the source text by Lucius D. Battle, Special Assistant to the Secretary of State, indicates that Secretary Acheson saw the memorandum.
[2] Not printed.
[3] Dated January 17, p. 1510.